Macro outlook 22nd Feb

Policy Shock & Market Reaction

This week was particularly tumultuous. Kevin Warsh is set to become the next Federal Reserve Chair. Farewell, Mr. Powell, you were probably the most credible inflation fighter of this cycle.

Markets sold off initially, and my working hypothesis is that this reaction was driven by Warsh's perceived hawkish stance. The market likely interpreted his appointment as reducing the probability of aggressive rate cuts in the near term. I will expand on this further below.

Source Bloomberg

U.S. Macro Data – This Week

Below is a clean summary of the key data releases:

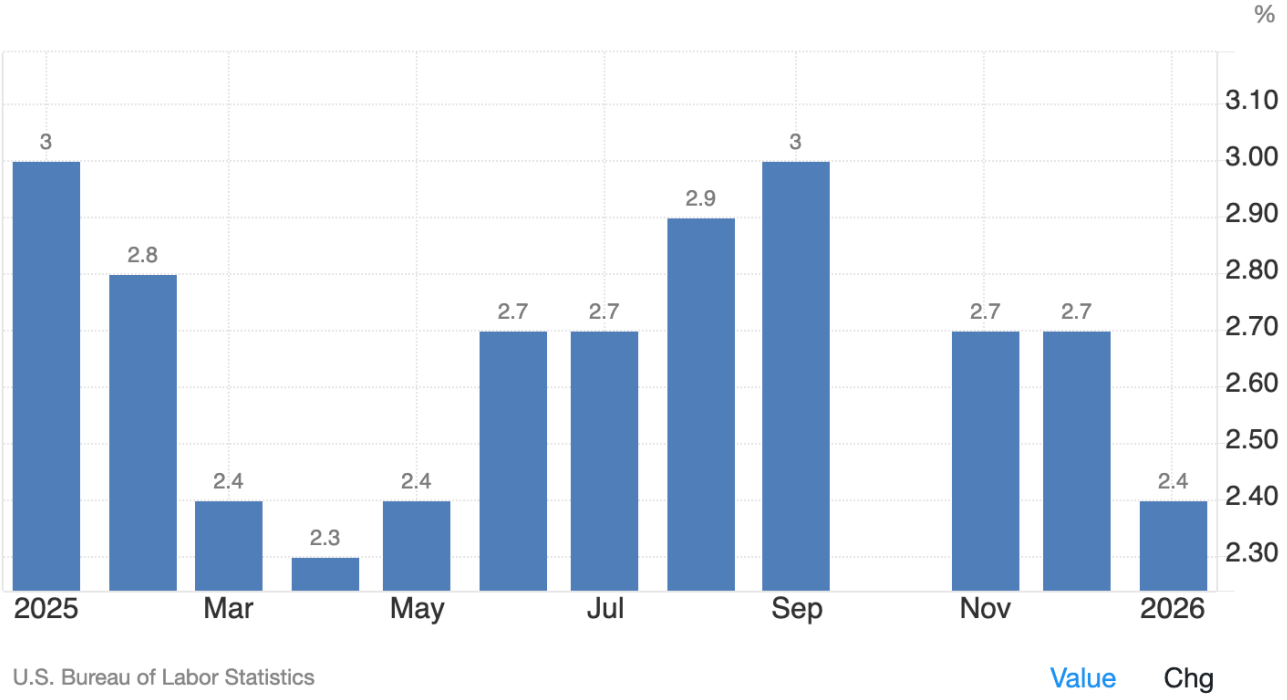
Indicator	Actual	Forecast	Previous (LP)	Interpretation
CPI (YoY)	2.4%	2.5%	2.7%	Cooling relative to prior month; modest disinflation
Core CPI (MoM)	0.3%	0.3%	0.2%	Slight re-acceleration in underlying inflation
Initial Jobless Claims	206K	223K	229K	Labor market remains resilient
S&P Global Manufacturing PMI	51.2	52.4	52.4	Expansion continues but momentum slowing

Indicator	Actual	Forecast	Previous (LP)	Interpretation
S&P Global Services PMI	52.3	53.0	52.7	Growth moderating in services

Inflation

Core CPI re-accelerated on a monthly basis, printing 0.3% versus 0.2% previously. While headline CPI cooled on a YoY basis, the stickiness in core inflation suggests that price pressures are not fully extinguished.

This matters because it complicates the Fed's path toward easing. If core inflation remains firm, a hawkish Fed Chair would be less inclined to cut rates aggressively.



Labor Market

Initial jobless claims came in at 206K, significantly below expectations. This suggests that the labor market is slowing gradually but not breaking.

A resilient labor market gives the Fed room to maintain higher rates for longer, particularly under a Chair perceived as hawkish.

Growth & Activity

Both Manufacturing and Services PMIs remain above 50, indicating continued expansion. However, both missed expectations, suggesting that growth momentum is moderating.

GDP data continues to show positive growth, reinforcing the narrative of a late-cycle slowdown rather than an outright recession.

Tariff Legal Headline

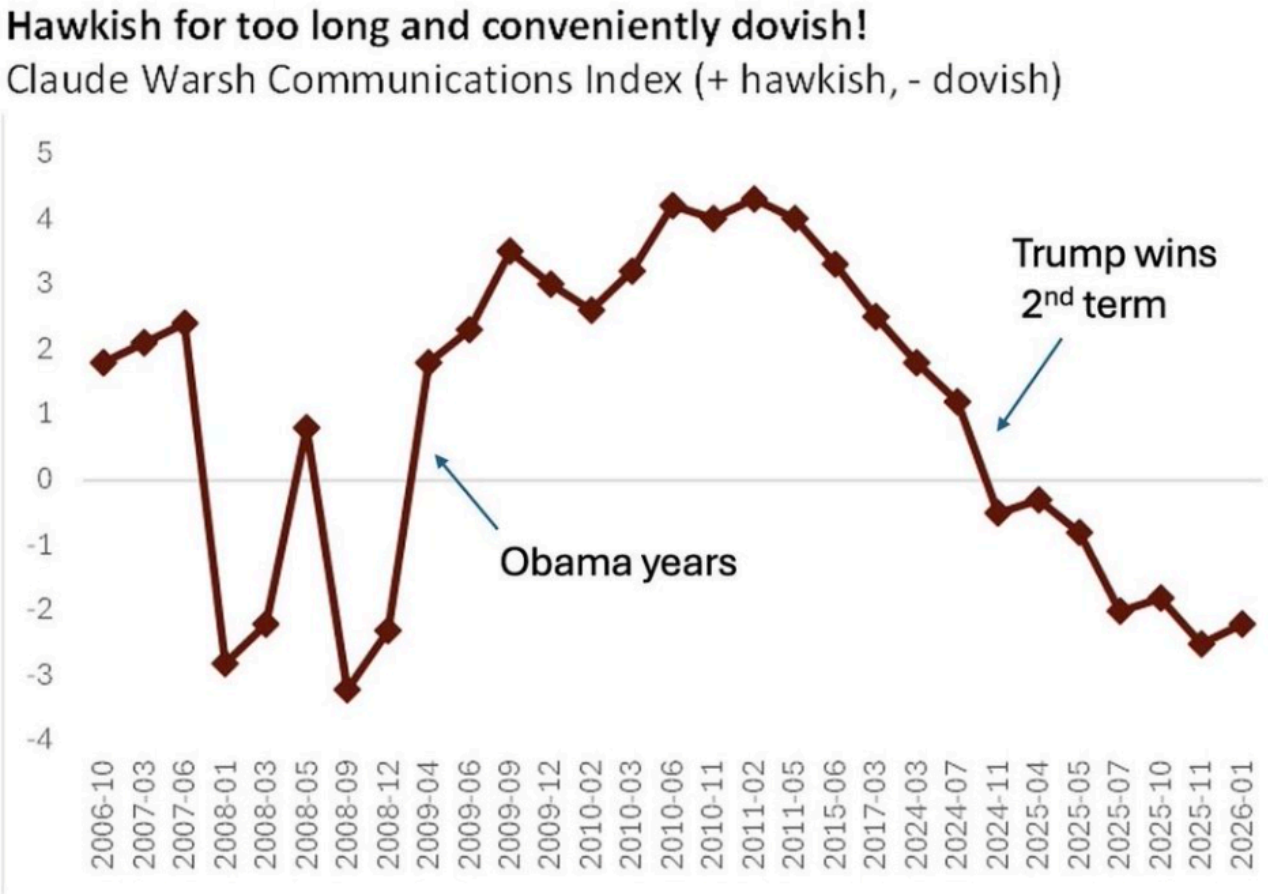
Former President Trump lost the lawsuit related to tariffs, creating significant legal and economic complexity. If refunds are mandated, the fiscal implications could be non-trivial.

From a macro standpoint, tariff reversals introduce uncertainty around trade policy, corporate pricing decisions, and fiscal accounting adjustments.

Interest Rates & Monetary Policy

The effective Federal Funds Rate currently stands at **3.64%**, comfortably within the target range of **3.50–3.75%**.

While markets continue to price rate cuts later this year, the appointment of Warsh may reduce the likelihood of aggressive easing. My current base case is that we see no more than two rate cuts this fiscal year, assuming inflation does not materially re-accelerate.



Consumer Confidence

Consumer confidence has been declining over the past month. This aligns with softer inflation readings but introduces downside risk to corporate earnings.

If demand weakens meaningfully, earnings growth could come under pressure despite easing price pressures.

Equity Markets

The S&P 500 initially declined but later recovered, boosted by the tariff ruling headline. Retail sector weakness and Middle East tensions acted as drags.

My portfolio was up **8.75% this week**, outperforming broader market volatility.

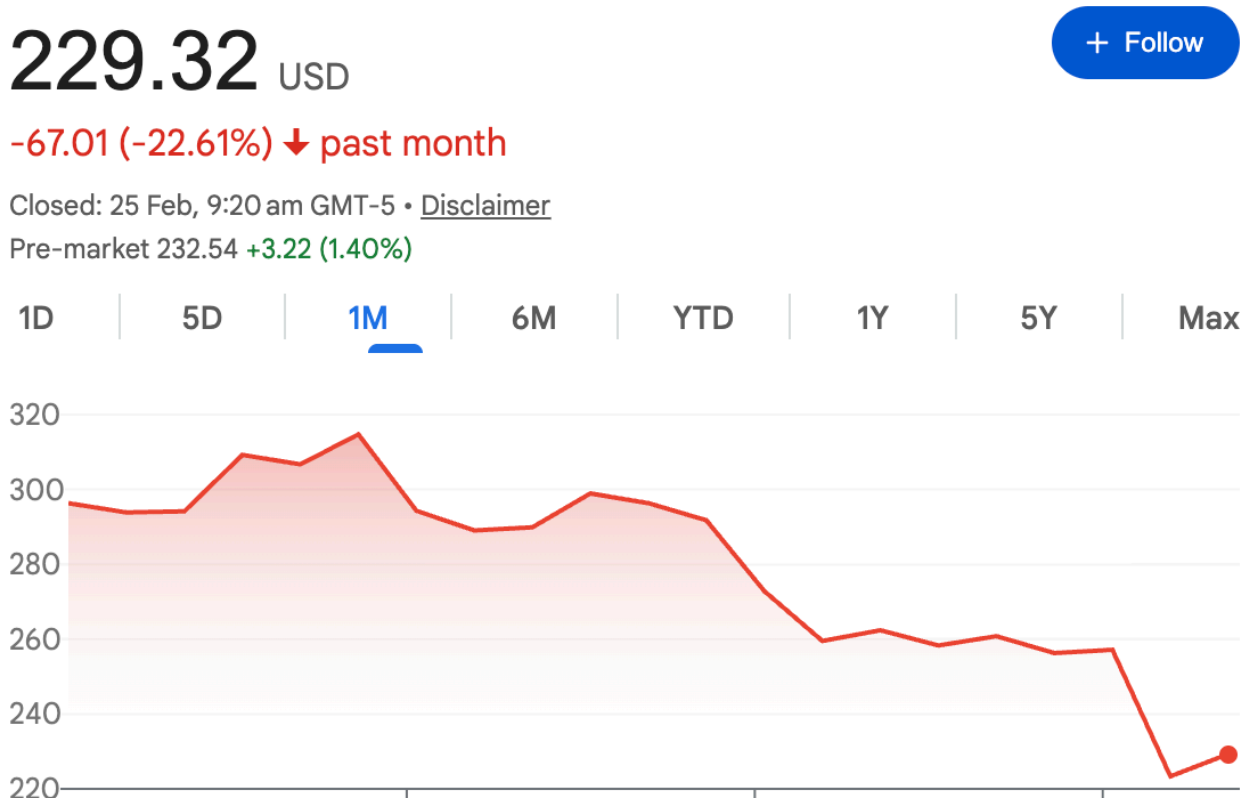
Crypto & Risk Assets

Bitcoin continues to drift lower, and bearish sentiment remains prevalent across crypto markets. At this stage, I do not see a compelling catalyst to re-enter BTC exposure.

AI & Tech

AI investment continues to accelerate, reinforcing its role as a structural growth driver. However, this has not translated uniformly across the technology sector. Certain legacy IT names, such as IBM, declined sharply (down 8% this week), suggesting dispersion within

tech rather than broad-based strength.



Apologies for the short and poorly formatted report. Didn't have the time to use the school terminal cos of Lunar New year + midterms going on. Will be on break this month. Portfolio update and research report for ASTS and APLD will be published on the 31st of March